

FNB APP ACADEMY

FACILITATION DECK

Module 2: Entrepreneurial Mindset & Business Foundations

From believing you can build a business, to mapping exactly how it will work.

Duration: Approximately 4 hours

Format: Facilitated lecture



Module 2 at a glance

- 01

The Entrepreneurial Mindset: Growth, Grit, and the Eight Core Attributes

The beliefs and habits that separate entrepreneurs who persist from those who quit

~50 min
- 02

Opportunity Recognition and Value Creation

Seeing real problems worth solving, and articulating why customers should choose you

~50 min
- 03

Business Model Canvas and Lean Canvas: From Idea to Model

Structured frameworks to map your business on a single page

~50 min
- 04

The SA Business Environment and AI as Your Business Co-Pilot

An honest picture of the landscape, and a thinking partner to navigate it

~50 min

By the end of this module, you will be able to

- Distinguish fixed and growth mindsets and apply a growth orientation to entrepreneurial challenges
- Identify the eight core attributes of an entrepreneurial mindset, including grit and resilience
- Analyse the SA SMME landscape and the constraints and opportunities entrepreneurs face
- Apply the Business Model Canvas and Lean Canvas to map and stress-test a business idea
- Use AI as a thinking partner to refine value propositions and identify business opportunities

The Entrepreneurial Mindset: Growth, Grit, and the Eight Core Attributes

Every business starts as a belief. This sub-module examines what separates entrepreneurs who persist from those who give up.

Duration: ~50 minutes · Knowledge check at the end

01

Learning objectives

- Distinguish between fixed and growth mindsets and explain which one drives entrepreneurial success
- Define grit and describe its two dimensions — perseverance of effort and consistency of interest
- Identify all eight core attributes of an entrepreneurial mindset with SA context examples
- Reframe failure as data rather than identity, using the neuroscience and research evidence
- Conduct a personal mindset self-assessment and identify your strongest and weakest attributes

"Who do I need to become to build this?" — before "what should I build?"

FIXED MINDSET READS THE STAT AS...

Entrepreneurship is too risky. The odds are against you. Failure is permanent and personal.

GROWTH MINDSET READS THE SAME STAT AS...

A solvable problem. What do the businesses that survive have that the ones that failed lacked? How do I build more of that?



"The view you adopt for yourself profoundly affects the way you lead your life. It can determine whether you become the person you want to be and whether you accomplish the things you value."

— CAROL DWECK, MINDSET: THE NEW PSYCHOLOGY OF SUCCESS (2006)

Applied to South African entrepreneurship, growth mindset was found to be the strongest predictor of whether someone would start a business — regardless of gender, age, or background ([Springer Nature, 2025](#)).



Which column describes you more often?

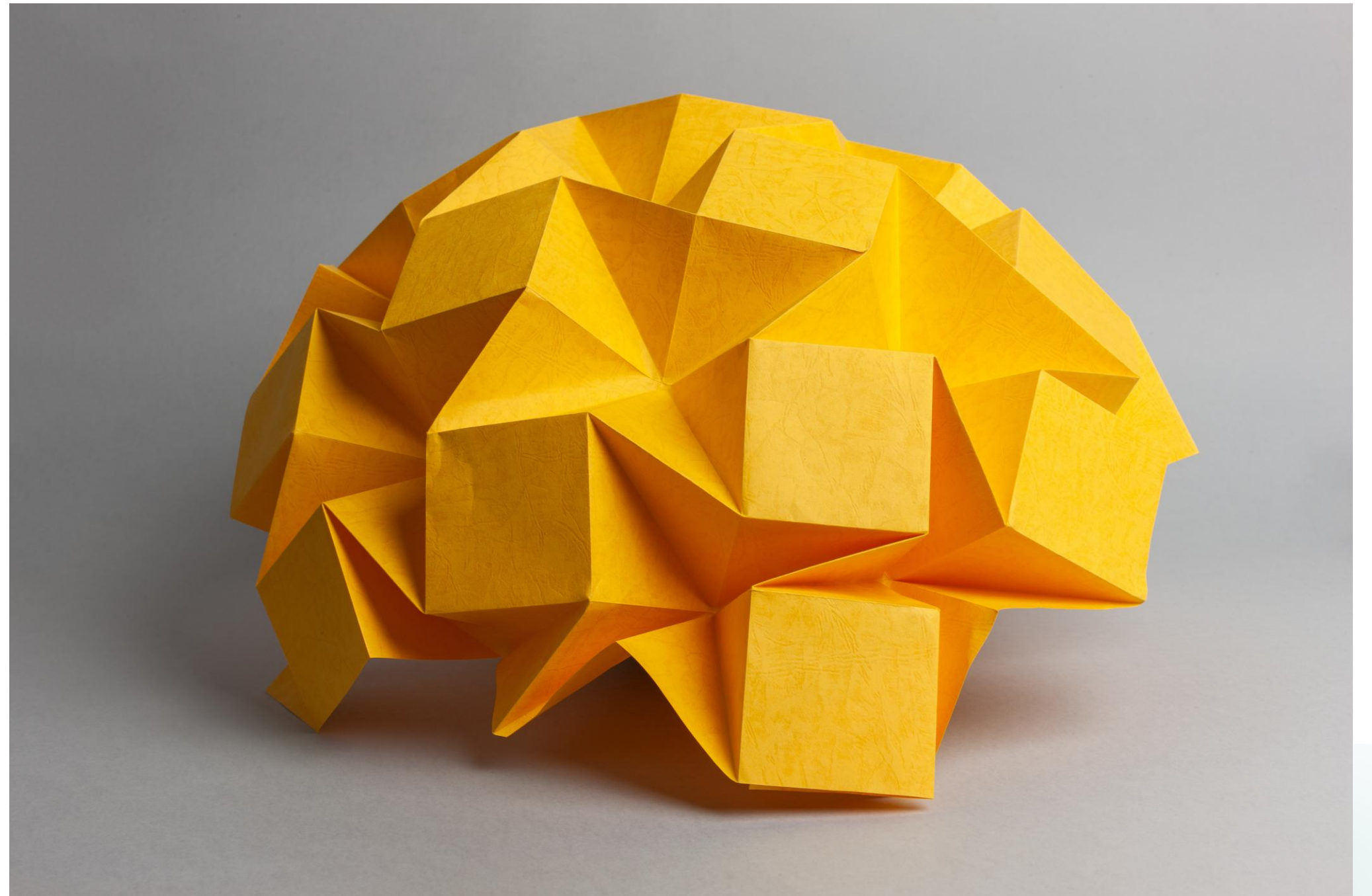
FIXED MINDSET	GROWTH MINDSET
Abilities are fixed — you either have it or you don't	Abilities can be developed through effort and persistence
Avoids challenges to protect self-image	Embraces challenges as opportunities to grow
Gives up when obstacles arise	Persists through setbacks
Ignores feedback and criticism	Learns from criticism and applies it
<i>"I'm not a business person"</i>	<i>"I'm becoming a business person"</i>

No one is purely fixed or purely growth. Most people are more growth-oriented in some areas and more fixed in others.

Mindset is not just psychology — it's physiology

KEY IDEA

In Dweck's studies, participants with a fixed mindset showed **no measurable brain activity** when reviewing their mistakes. Those with a growth mindset showed significant processing activity — their brains literally engaged with the failure to learn from it.



Trait-level passion and perseverance

Perseverance of effort

Continuing to work hard despite obstacles, setbacks, and plateaus. The discipline dimension.



Consistency of interest

Maintaining focus on the same long-term goal, rather than switching when excitement fades.

Perseverance is a **stronger driver of entrepreneurial action than passion alone**. Passion often starts a business; perseverance sustains it. (Frontiers in Psychology, 2022)

For SA entrepreneurs specifically, grit is more strongly related to self-employment for risk-takers, women, and younger individuals — groups overrepresented in informal and township entrepreneurship.

Skills and dispositions — not fixed traits

1. Opportunity Recognition

Seeing unmet needs others overlook

2. Innovation & Creativity

Adapting solutions to new contexts

3. Risk Tolerance

Assessing and taking calculated risks

4. Proactivity & Initiative

Shaping opportunities, not waiting for them

5. Resilience & Adaptability

Adjusting strategy as conditions change

6. Resourcefulness

Efficiently using what's available

7. Growth Orientation

Continuous learning and self-improvement

8. Vision & Purpose

Clear objectives and compelling mission

Failure is data, and data is useful

- 1 Every business that failed was once a business that started, already a category most aspiring entrepreneurs never enter
- 2 The most common causes of SMME failure, unprofitability, lack of finance, expertise gaps, skills gaps, are addressable, not inevitable
- 3 The most effective learning comes from reflecting on failure systematically — not from avoiding it

Practical reframe: instead of "Why did I fail?" ask **"What did that teach me that I could not have learned any other way?"**

Pause and consider

1. Which column of the Fixed vs. Growth table describes you more often when things go wrong? Give a specific example.
2. Of the eight entrepreneurial attributes, which two are your strengths? Which two need development?
3. Think of a business failure — yours or someone close to you. What was the data from that failure?

CASE STUDY

Thandi Mthembu — East London seamstress

Thandi believed, absolutely, she was "not a businessperson", reinforced every time a customer negotiated her down or a competitor undercut her.

When load shedding intensified in 2022, most competitors slowed down. Thandi, quietly building financial understanding via free SEDA workshops raised her prices, positioned as a premium reliable service, and invested in a small solar setup.

Her revenue nearly **doubled** between 2022 and 2024. Her fixed mindset said: "I'm not a businessperson." Her growth mindset said: "I'm becoming one."

DISCUSS

Which of the eight attributes did Thandi demonstrate? What experience helped her challenge her fixed belief?

Key takeaways

Growth mindset is the strongest predictor of entrepreneurial success in SA research, regardless of gender, age, or background

Grit has two dimensions: perseverance of effort and consistency of interest — perseverance beats passion alone

Eight core attributes are learnable skills, not fixed traits — anchored by growth mindset

Failure is data: ask "what did that teach me?" instead of "why did I fail?"

Opportunity Recognition and Value Creation

Most businesses start with an idea. The best businesses start with a problem. Learn to see the difference.

Duration: ~50 minutes · Knowledge check at the end

02

Learning objectives

- Distinguish between a business idea and a genuine business opportunity
- Apply problem-first thinking and four opportunity recognition tools
- Describe how South Africa's innovation gap creates structural opportunity for entrepreneurs
- Define "value proposition" and articulate at least five types of value a business can offer
- Construct a clear, customer-centred value statement for your own business

Did anyone *actually* want what you built?

CB Insights consistently finds "no market need" is among the top reasons startups fail globally. Not lack of capital. Not bad timing. Nobody wanted it badly enough to pay for it.

In South Africa, many businesses are solutions looking for problems, rather than problems that found their solution. The antidote: learn to see opportunity before you build.



"The most successful entrepreneurs don't start with a solution — they start with a deep, visceral understanding of the problem. The solution comes after."

— Ash Maurya, Running Lean (2012)

IDEA



OPPORTUNITY



Market? Pay

The critical distinction

AN IDEA

Something you think of. Raw material, not the finished product.
Can come from anywhere.

AN OPPORTUNITY HAS FOUR TRAITS

- A specific, felt problem people experience regularly
- A viable market, enough people experience it
- You have or can build the capability to deliver it
- People willing to spend money to solve it
- You have or can build the capability to deliver it

Tip: Talk to 10 potential customers about the problem — not your solution — before building anything. If they light up describing the problem, you may have an opportunity.

A learnable skill, not a mysterious gift

Problem-first thinking	"What annoys my community most?" The workaround people use is usually a hidden opportunity
Observation & empathy mapping	"Walking the market" — watching what people do, not asking what they want
Trend spotting	Load shedding, mobile money, social commerce — every change creates a gap
Gap analysis	"What can people only get badly?" — the core of township and informal economy opportunity

Only 9.9% of early-stage SA entrepreneurs introduce nationally new products (GEM 2023/24) — not because there's no opportunity, but because few are building the habit of looking.

Six types of value you can create

Newness
Meeting a need customers didn't know they had

Performance
Delivering existing offerings significantly better

Customisation
Tailoring to individual customer needs

Convenience / Accessibility
Easier access — powerful in informal & rural markets

Price
Similar quality at a lower price

Risk Reduction
"Pay after delivery" in a market wary of being cheated

Know your segment: a suburban client may respond to performance/customisation; a township customer may prioritise accessibility and trust.

A clarity tool, not a tagline

TEMPLATE

"We help **[specific customer segment]** who **[specific problem]** by providing **[your solution]** — unlike **[current alternative]**, which **[limitation]**."

"We help small business owners who can't afford professional accounting by providing a WhatsApp-based monthly bookkeeping service — unlike traditional accountants, which charge fees that make no sense under R 50,000/month turnover."

"We help working mothers in Soweto who struggle to find reliable childcare by providing a vetted, community-based network with daily WhatsApp updates — unlike government crèches, which have long waiting lists."

Pause and consider

1. What specific problem does your business idea solve? How do you know it's real — not just something you think people should want?
2. Of the six types of value, which is your business most clearly creating? Is that what your customers most want?
3. Draft your value statement in the template format. Read it aloud — does it sound like something a real customer would respond to?

CASE STUDY

Lerato Mokoena — Johannesburg mobile grocer

Lerato noticed that during the week, especially load-shedding hours, her Soweto neighbourhood only had the local spaza shop, fresh produce was inaccessible Monday to Friday. She recognised the opportunity by living it herself.

She started a weekly pre-order vegetable box, delivered by bicycle Thursday evenings, ordered via WhatsApp. Fresh, fairly priced produce before the weekend rush, no app, no data costs.

Within six months: **80 weekly subscribers**. She didn't invent a new product, she invented new convenience, accessibility and trust in an underserved market.

DISCUSS

Which of the four opportunity recognition tools did Lerato intuitively apply? Write her value statement using the template.

Key takeaways

- An opportunity is validated by real people, a viable market, and willingness to pay — an idea is not
- Four tools: problem-first thinking, observation, trend spotting, gap analysis
- Six types of value: newness, performance, customisation, convenience, price, risk reduction
- A sharp value statement names a specific customer, problem, solution, and limitation of the alternative

Business Model Canvas and Lean Canvas: From Idea to Model

Structured frameworks to map every element of your business on a single page.

Duration: ~50 minutes · Knowledge check at the end

03

Learning objectives

- Name and describe all nine building blocks of the Business Model Canvas
- Explain why the Lean Canvas suits early-stage, resource-constrained entrepreneurs better
- Identify the four BMC elements the Lean Canvas replaces, and why
- Complete a draft Lean Canvas for your own business or business idea
- Use the Lean Canvas as a stress-testing tool to identify unproven assumptions

From a 30-page document to one page, nine boxes

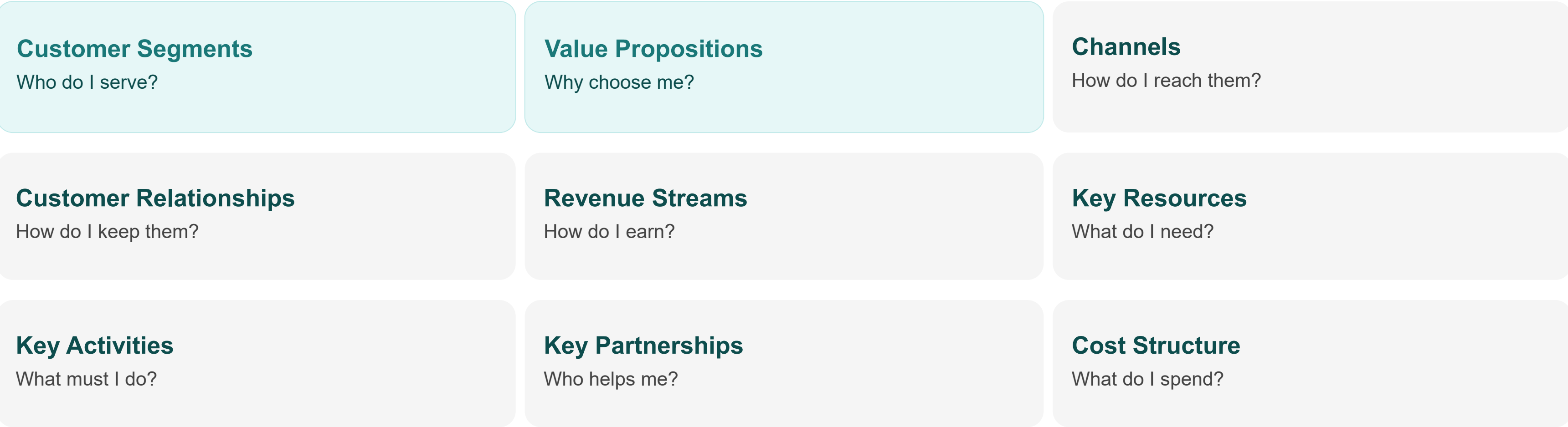
Before Osterwalder and Pigneur's "Business Model Generation" (2010), a business model was typically a document that took weeks to write and was outdated before it was finished. The Canvas reduced this to a single page.

For SA entrepreneurs, it serves an extra purpose: it externalises thinking stuck in the founder's head — making it testable, shareable, and revisable.

KEY IDEA

The Canvas is not a plan — it's a snapshot of your current best understanding. Expect it to change. The goal is not a perfect Canvas; it's a Canvas you engage with honestly and revise often.

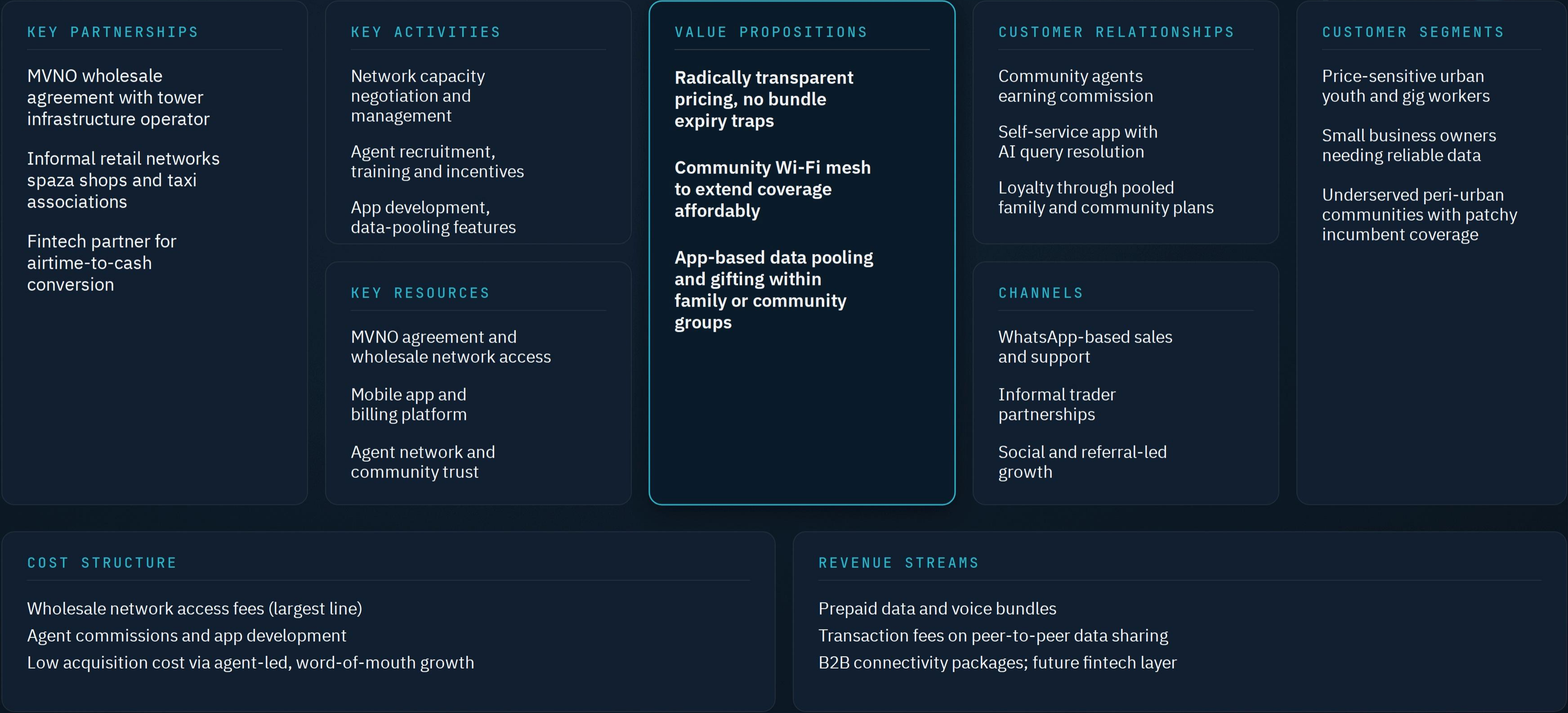
Nine building blocks



Start with Customer Segments and Value Propositions — the heart of the model. If these are vague, no other block can be filled in confidently.

Nexora Mobile

A challenger MVNO built on transparent pricing and community-led distribution



Built for early-stage entrepreneurs

BMC ELEMENT REPLACED	LEAN REPLACEMENT	WHY IT MATTERS
Key Partners	Problem	Forces you to start with customer pain, not your idea
Key Activities	Solution	Keeps you focused on solving, not building everything at once
Key Resources	Key Metrics	Makes early success measurable from day one
Customer Relationships	Unfair Advantage	Distinguishes why you'll succeed when others try the same thing

Fill-in order: Customer Segments → Problem → Value Proposition → Solution → Channels → Revenue → Cost → Metrics → Unfair Advantage

Every box is an assumption until tested

The key question for each box: "How do I know this is true? Have I tested it, or am I assuming it?"

If "Problem" is an assumption — talk to 10 potential customers before building

If "Customer Segment" is an assumption — find 5 members of that segment and talk about their priorities

If "Revenue Stream" is an assumption — try to pre-sell before spending money to create it

Pause and consider

1. Which of the nine BMC blocks do you have the clearest view of? Which is the most blurry?
2. What is your single most unproven assumption right now? What's the cheapest experiment to test it?
3. What is your current Unfair Advantage — the thing about your business that cannot easily be copied?

CASE STUDY

Sibongile Dlamini — Durban catering startup

A Business Model Canvas revealed her most profitable segment was corporate lunch clients, not the weddings she thought defined her brand, and that she had no Channel strategy beyond unpredictable referrals.

Her Lean Canvas targeted corporate lunches directly: Unfair Advantage was hyper-local relationships with building managers. Her riskiest assumption: corporates would pay a premium for reliability.

She tested it with 10 cold calls; 8 were interested. She now has **12 regular corporate accounts** contributing 65% of monthly revenue.

DISCUSS

What did the Canvas reveal that Sibongile hadn't known? Which box was her highest-risk assumption, and how did she test it?

Key takeaways

- The Business Model Canvas maps nine interconnected blocks, start with Customer Segments and Value Propositions
- The Lean Canvas swaps four BMC blocks for Problem, Solution, Key Metrics, and Unfair Advantage, built for pre-validation entrepreneurs
- Every box is an assumption until tested, identify your three riskiest and test them cheaply
- Treat the Canvas as a living document, revised often as you learn

The SA Business Environment and AI as Your Business Co-Pilot

An honest picture of the landscape you're building in — and a new thinking partner to navigate it.

Duration: ~50 minutes · Knowledge check at the end

04

Learning objectives

- Describe key data points defining the SA SMME landscape — failure rates, sector concentration, geography
- Identify structural constraints facing SA entrepreneurs across diverse business contexts
- Name at least three government and NGO support organisations and what they offer
- Explain the "AI as co-pilot" concept, distinct from over-reliance on AI
- Apply AI prompting techniques to opportunity ID, value proposition design, and canvas stress-testing

An honest picture: not optimistic, not pessimistic

Before you can build a resilient business, you need an accurate picture of the environment you're building it in. Understanding the community and the context. Challenge should not be discouraging; it's the foundation of strategic response.

Data does not create determinism. It creates awareness. Awareness is the prerequisite for strategy. And in this sub-module, you also get a new thinking partner to help you develop that strategy: AI.

Building without a map is navigating blind

Total MSMEs in South Africa	~3 million	Workforce employed by MSMEs	~13.4M (80%)
Small businesses failing within 5 years	70-80%	SMMEs failing within the first year	~5 in 7
Entrepreneurs introducing new products nationally	9.9%	SMMEs concentrated in Gauteng & Western Cape	65.9%
Youth unemployment (under 24)	~60% of total	Estimated township economy value	ZAR 900bn

Every cause of failure is addressable

Unprofitability	Know your cost structure and break-even point before scaling — use the Lean Canvas
Limited access to finance	Know the support ecosystem; build a track record before seeking large funding
Business expertise gaps	Exactly what this programme addresses — closeable with structured learning
Infrastructure challenges	Build resilience in: solar power, mobile-first tools, offline payments, WhatsApp service
Lack of essential skills	Use AI, free learning, and peer networks — every skill gap is more addressable than ever

Constraints and opportunities, side by side

CONSTRAINTS

- Limited formal networks & mentors
- Capital access excludes non-standard collateral
- Digital, financial & planning skills gaps
- Market access limited to immediate community

OPPORTUNITIES

- ZAR 900bn in existing economic activity
- Underserved markets, limited competition
- Mobile internet & mobile money lowering barriers
- A young, entrepreneurial population as customers and talent

"The shift from survivalist to growth-oriented entrepreneurship requires both mindset change and structural support."

— ANDE/GIZ, 2024

Free or subsidised support you can access now

SEDA	Free business advisory, mentorship, incubation. Offices in all 9 provinces
NYDA	Grant funding, mentorship, business development for entrepreneurs 18-35
NEF	Funding for black-owned/empowered businesses, startup or growth capital above R 250,000
SEFA	Loan finance for small/micro enterprises that can't access bank financing
GIZ / PYEI	Youth entrepreneurship & employment training, often with SEDA/NYDA

In the passenger seat, not the driver's seat

You decide the destination, the route, and when to stop. AI provides information, generates options, and asks questions. **You evaluate, select, and decide.**

FIXED MINDSET SAYS

"AI will replace me."

GROWTH MINDSET ASKS

"How do I use AI before my competitors do?"

All achievable on a smartphone

Opportunity identification

"What are the 3 biggest unmet needs for low-income consumers in SA in 2025? What gaps remain?"

Value proposition drafting

"I sell [X]. Help me write 3 value propositions targeting convenience, health, price."

Lean Canvas stress-testing

"Here is my problem statement: [X]. What assumptions am I making that I haven't tested?"

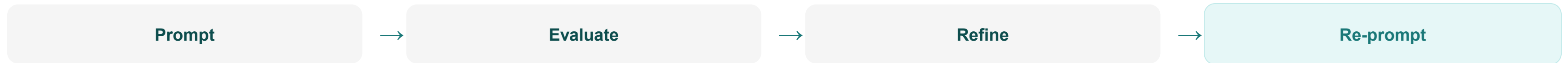
Competitor gap analysis

"I want to start [business] in [area]. What do customers complain about with current options?"

Customer persona building

"Describe a persona for [specific customer]. Include frustrations, goals, smartphone habits."

AI rewards the same iteration that grit requires



The first AI response is rarely the best one. This iterative process builds the communicative-cognitive AI literacy habit from Module 1: evaluating output rather than accepting it.

Pause and consider

1. Which SMME landscape statistic most surprised you? What does it change about your strategy?
2. Have you accessed any of the support organisations listed? If not, is the barrier real or assumed?
3. Where in your business thinking are you truly in the driver's seat — and where are you letting fear or "experts" drive?

CASE STUDY

Zanele Nkosi — Mpumalanga agricultural entrepreneur

Zanele grew vegetables and sold surplus informally — enough for household expenses, not enough to grow. Her challenge: finding buyers willing to pay fairly for consistent supply.

She used ChatGPT to research retail supply access — surfacing that Pick n Pay and Shoprite have dedicated small-supplier programmes for rural farmers. AI drafted her application; a SEDA advisor reviewed and strengthened it.

She's now in a pilot programme supplying one Pick n Pay store — a contract that has **tripled her monthly income**.

DISCUSS

Why is AI + human expertise (SEDA) more powerful than either alone? What changed in Zanele's Lean Canvas after her AI research?

Key takeaways

- The SA SMME landscape is genuinely challenging — but every major cause of failure is addressable
- SEDA, NYDA, NEF, SEFA and others offer real, often-unused support
- "AI as co-pilot": you drive, AI generates options and challenges assumptions
- Effective AI use mirrors grit: prompt, evaluate, refine, re-prompt

Four sub-modules, one journey

01 · THE ENTREPRENEURIAL MINDSET

Growth mindset is the strongest predictor of success. Grit, and the eight core attributes, are learnable — not fixed.

03 · BUSINESS MODEL & LEAN CANVAS

Structured, one-page thinking tools. Every box is an assumption — the Canvas is a living document, revised often.

02 · OPPORTUNITY RECOGNITION & VALUE CREATION

See problems as doors, not obstacles. A sharp value statement names a specific customer, problem, and limitation of the alternative.

04 · SA ENVIRONMENT & AI CO-PILOT

An honest picture of the landscape, real support available, and AI as a thinking partner — you always in the driver's seat.

You have now put your business idea through a structured thinking process — clearer on who your customers are, what problem you solve, and how you plan to make money. That clarity is the difference between a dream and a business.

BEFORE YOU GO

Commit to three specific actions in your business

Turn to your Learner Guide's Action Plan. Be specific — vague intentions rarely become completed tasks. Consider one action from each area:

One fixed-mindset belief you'll challenge this week

A first-draft Lean Canvas for your business idea

One support organisation you'll contact this month

FROM GRASSROOTS TO GREATNESS

Thank you

Your Learner Guide has the exercises, case studies and knowledge checks for each sub-module — work through them, and your Lean Canvas, before Module 3.

